INDEPENDENT INDEPENDENT EQUITY RESEARCH

EOG Resources, Inc.

Cash generation and production growth support upside, but margin, capex and discount-rate assumptions remain decisive

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Research stance*	**Reference price**	Model-derived fair value	**Implied upside**	**Risk**
CONSTRUCTIVE*	US$157.88	US$225.54	42.9%	High

How to read the stance and fair value
*Constructive means the central evidence supports a positive risk/reward view, but the report does not apply a formal institutional Buy/Hold/Sell framework. US$225.54 is a model-derived present fair value, not a guaranteed 12-month price target. The 42.9% figure is capital upside from the 21 October 2026 reference close and excludes dividends.

Investment view
EOG combines strong current free-cash-flow generation, disciplined shareholder returns and multi-basin growth optionality. The central adjusted-CAPM Monte Carlo DCF indicates meaningful upside, but the thesis depends heavily on commodity-supported EBIT margins, capital efficiency and a defensible WACC.

Key investment points

- Q2 2026 free cash flow reached US$2.8bn, while US$1.8bn was returned through regular dividends and share repurchases.
- Management expected 5% oil-production growth and 14% total-production growth for 2026.
- The 50,000-path DCF produces a median share value of US$225.54 and a median enterprise value of US$121.64bn.
- EBIT margin is the dominant positive valuation driver; WACC and capex intensity are the principal negative drivers.
- The valuation is not robust to every cost-of-equity methodology. A high-discount-rate case should remain a formal stress test.

1. Investment Summary

1.1 Thesis and variant perception

The central thesis is that the market may be capitalising a more conservative medium-term margin and cash-flow path than the company can deliver if production growth, cost discipline and capital efficiency remain supportive. This is not simply a production-growth thesis. EOG must convert volume growth into revenue and free cash flow without allowing capex intensity or unit costs to rise disproportionately.

Pillar	Evidence	Investment implication
Cash-generation quality	Q2 2026 operating cash flow of US$4.7bn and free cash flow of US$2.8bn	Supports dividends, repurchases and balance-sheet flexibility
Growth with capital discipline	2026 guidance of 5% oil growth and 14% total-production growth; approximately US$6.5bn capex	Upside requires production growth without excessive reinvestment
Shareholder returns	US$540m regular dividends and US$1.3bn repurchases in Q2 2026	Provides a direct channel from free cash flow to shareholder value
Portfolio optionality	Diversified oil, NGL and natural-gas exposure; initial UAE oil production	Creates upside beyond the mature core portfolio
Valuation	Median DCF value US$225.54 versus US$157.88 reference price	Central model indicates a meaningful margin of safety

1.2 What would prove the thesis wrong?

- Realised commodity prices remain weaker than the levels embedded in the margin range.
- Capex rises faster than production and operating cash flow.
- EBIT margin reverts materially below the 34.0% central assumption.
- A peer-based or forward-looking discount rate remains materially above the 7.52% central WACC.
- International projects fail to demonstrate competitive full-cycle returns.

2. Company and Industry Overview

EOG is an upstream oil and gas producer with exposure to crude oil, natural-gas liquids and natural gas across a multi-basin portfolio. The earnings model is primarily driven by production volume, realised commodity prices, unit operating costs, capital intensity and reserve replacement.

2.1 Business model

Driver	Why it matters to investors
Production volume	Determines the physical base for revenue and cash flow
Realised prices	Connect benchmark oil and gas prices to company revenue
Unit costs	Determine the conversion of revenue into operating profit
Capital expenditure	Required to develop new wells and offset natural production decline
Inventory quality	Supports repeatable drilling returns and long-term growth
Capital allocation	Determines the split among growth, debt reduction, dividends and repurchases

2.2 Industry considerations

- Oil and gas prices remain the principal external earnings variables.
- Service-cost inflation and basin constraints can reduce capital efficiency.
- Natural decline rates require continued reinvestment to sustain production.

- Industry capital discipline and shareholder-return policies influence valuation multiples.
- International expansion adds scale and optionality but also execution and geopolitical risk.

3. Recent Performance and Operating Evidence

Q2 2026 evidence	Reported result	Research relevance
Net income	US$2.72bn; US$5.15 per share	Demonstrates strong current profitability
Adjusted net income	US$2.68bn; US$5.07 per share	Supports earnings quality assessment
Operating cash flow	US$4.7bn	Supports internal funding capacity
Free cash flow	US$2.8bn	Supports capital returns and valuation
Capital returned	US$540m dividends; US$1.3bn repurchases	Evidence of disciplined distribution
Oil volume	548.8 thousand barrels per day	Operating scale and oil exposure
Total volume	1,410.4 thousand BOE per day	Diversified production base
Cost execution	Lease, well and gathering/processing/transport costs below guidance midpoints	Supports margin resilience
UAE progress	Initial production established with successful test results	International optionality

Management entered the second half of 2026 expecting 5% oil-production growth and 14% total-production growth for the year. Production guidance is used as an anchor for the Year 1 sales-growth mode, but volume growth is not identical to revenue growth because realised prices and product mix also matter.

3.1 Evidence-to-forecast bridge

The forecast should be read as a conditional framework rather than a fully disaggregated commodity model. Q2 operating evidence supports the near-term growth and margin case, but production growth is not identical to revenue growth. Realised oil, gas and NGL prices, product mix and benchmark differentials can cause revenue to diverge materially from total BOE growth.

Observed evidence	Forecast implication	Required confirmation
Oil and total production above Q2 guidance midpoint	Supports near-term volume assumptions	Continued delivery without capex escalation
Core operating costs below guidance midpoints	Supports margin resilience	Stable unit costs outside a high-price quarter
Record Q2 free cash flow	Supports capital returns and balance-sheet flexibility	Sustained FCF under normalised commodity prices
Q2 capex below midpoint, partly due to timing	No immediate capex pressure	Full-year spending remains within guidance

4. Forecast Framework

The valuation uses a five-year FCFF forecast. Revenue growth is simulated annually, while EBIT margin, tax rate, D&A/sales, capex/sales and operating NWC/sales are drawn once per simulation and retained across all five forecast years. This creates persistent weak, central and strong operating environments.

Variable	Downside	Mode	Upside	Rationale

Variable	Downside	Mode	Upside	Rationale
Year 1 growth	−5%	14%	22%	Central case anchored to total-production guidance; bounds include commodity-price variability
Year 2 growth	−5%	8%	18%	Growth moderates as the comparison base increases
Year 3 growth	−4%	6%	14%	Medium-term normalisation
Year 4 growth	−3%	4%	10%	Transition toward maturity
Year 5 growth	−2%	3%	8%	Bridge toward terminal growth
EBIT margin	25%	34.01%	42%	Mode equals TTM EBIT/revenue; wide range reflects commodity sensitivity
Tax rate	21%	21.76%	26%	Mode equals TTM effective tax rate
D&A / sales	16%	18.20%	20%	Mode equals TTM D&A/revenue
Capex / sales	21%	24.4%	27%	Mode approximates 2026 capex midpoint divided by TTM revenue
NWC / sales	1%	2.56%	4%	Mode equals current operating NWC/revenue
WACC	6.52%	7.52%	8.52%	Central WACC plus/minus one percentage point
Perpetual growth	1.5%	2.5%	3.0%	Mature nominal growth below all simulated WACCs

Important modelling limitation
Sales growth, margin, capex and WACC are simulated independently even though economic relationships exist. Faster growth may require more capex, while commodity prices can move revenue and margin together.

5. Cost of Capital

5.1 Adjusted CAPM

Input	Value	Interpretation
Raw five-year monthly beta	0.2855	OLS coefficient on market excess return
Beta p-value	0.256	Raw estimate is statistically imprecise
Regression R-squared	2.3%	Market factor explains little of monthly EOG excess-return variation
Blume-adjusted beta	0.5213	67% weight on raw beta and 33% on the market beta of one
Annualised risk-free rate	3.4800%	Latest monthly French RF observation multiplied by 12
Annualised market-risk premium	8.7083%	Matched five-year monthly mean multiplied by 12
Adjusted CAPM cost of equity	8.0194%	Risk-free rate plus adjusted beta times market-risk premium

5.2 WACC

Component	Value
Pre-tax cost of debt	3.2727%
Effective tax rate	21.7569%

Component	Value
After-tax cost of debt	2.5607%
Market equity weight	90.9403%
Market debt weight	9.0597%
Central WACC	7.5249%

Discount-rate risk
The adjusted CAPM reduces reliance on an unusually low raw beta, but the Blume weights and five-year historical market premium remain assumptions. The DCF conclusion changes materially under a higher factor-based required return.

6. Valuation

6.1 Monte Carlo DCF

The model runs 50,000 five-year scenarios. FCFF equals after-tax EBIT plus D&A less capex and the change in operating working capital. Terminal value uses the Gordon-growth formula, with a check that every simulated WACC exceeds perpetual growth.

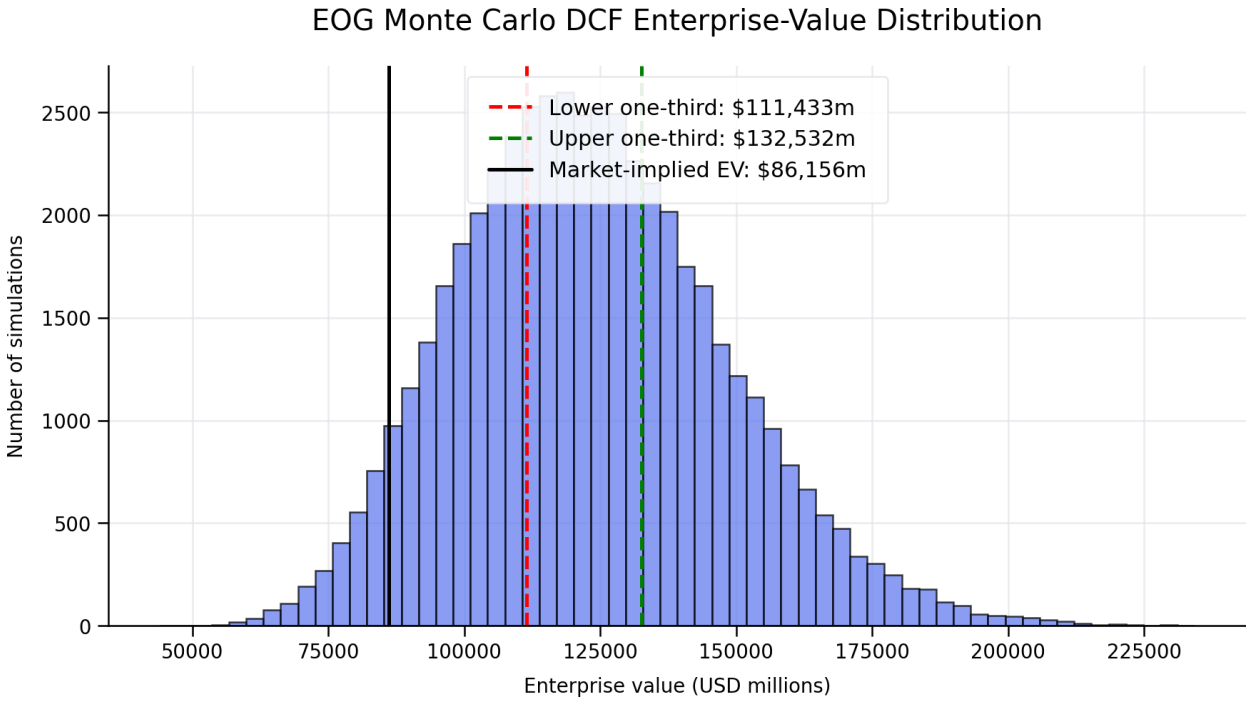


Figure 1. Simulated enterprise-value distribution. The black line shows the US$86.16bn market-implied enterprise value.

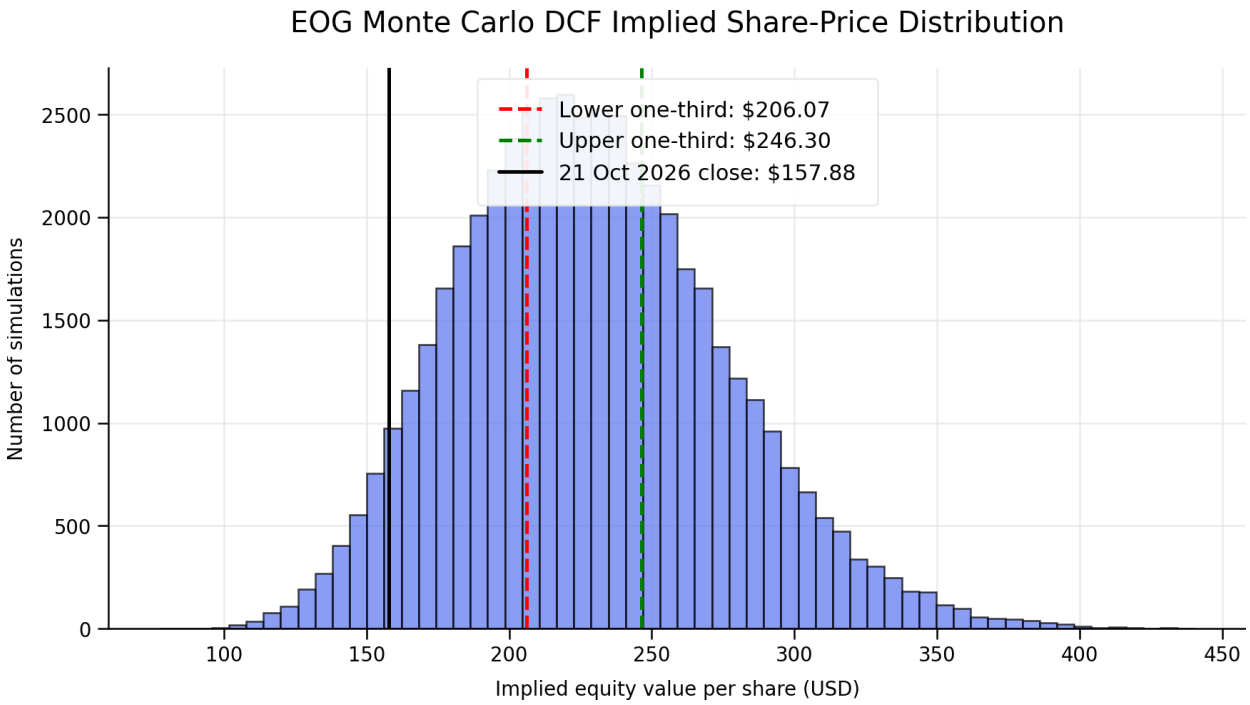


Figure 2. Simulated implied share-price distribution relative to the US$157.88 reference close.

Valuation statistic	Result
Mean enterprise value	US$123.18bn
Median enterprise value	US$121.64bn
Lower one-third EV boundary	US$111.43bn
Upper one-third EV boundary	US$132.53bn
Mean implied share value	US$228.46
Median implied share value	US$225.54
Lower one-third share boundary	US$206.07
Upper one-third share boundary	US$246.30
Modelled outcomes above reference price	94.64%

The selected fair value is US$225.54, equal to the median model outcome. This represents approximately 42.9% capital upside from US$157.88 before dividends. The 94.64% result is a scenario frequency under the selected input distributions, not an objective probability of a price increase within twelve months.

6.2 Valuation caveat

A professional investment conclusion should ideally triangulate DCF with comparable-company multiples and EOG's own historical trading range. The current fair value is therefore best treated as a model-derived central estimate rather than a mechanically precise target.

7. Sensitivity and Scenario Interpretation

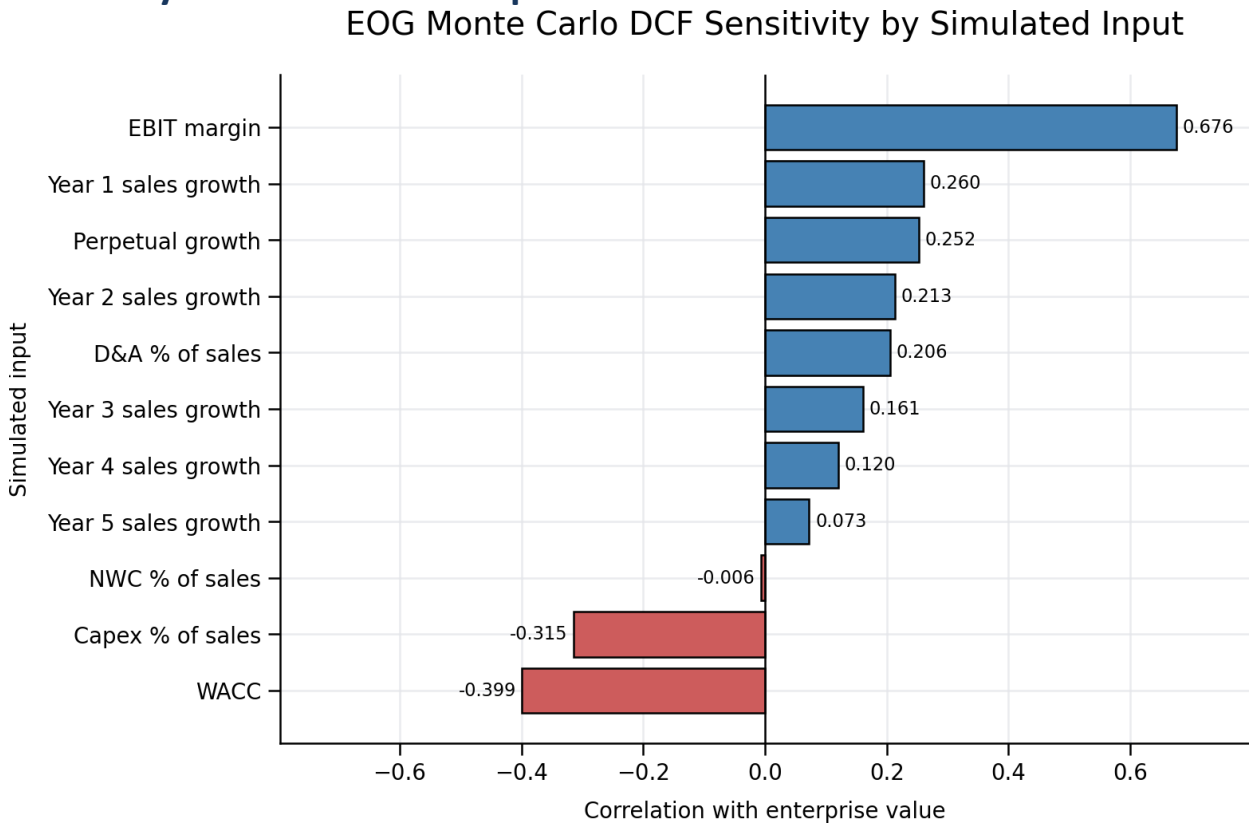


Figure 3. Pearson correlation between simulated inputs and enterprise value.

Driver	Correlation	Equity-research interpretation
EBIT margin	+0.676	The thesis is primarily a margin and commodity-realisation thesis
WACC	−0.399	Discount-rate methodology is the largest model risk
Capex / sales	−0.315	Growth creates value only if reinvestment remains efficient
Year 1 sales growth	+0.260	Near-term delivery affects the entire forecast base
Perpetual growth	+0.252	Terminal value remains important to total EV
NWC / sales	−0.006	Working capital is immaterial within the selected range

Reading the chart
A +0.676 correlation does not mean that a one-percentage-point increase in EBIT margin raises EV by 0.676%. Correlation shows direction and relative strength across simulations.

Catalyst	Potential impact on expectations
Delivery of production guidance	Would support the growth assumptions and strengthen confidence in the explicit forecast
Sustained cost control	Would support EBIT-margin resilience
Capital returns	Dividends and repurchases can transfer free cash flow directly to shareholders

Catalyst	Potential impact on expectations
International operating progress	Could extend inventory life and create new growth options
Capex efficiency	Production growth without capex escalation would strengthen FCFF
Commodity-price support	Higher realised prices would improve revenue, margins and cash generation

9. Risks

Risk	Transmission to value	Monitoring indicator
Commodity-price decline	Lower revenue and margin reduce FCFF	Realised oil, gas and NGL prices
Margin compression	Direct negative effect on NOPAT and terminal cash flow	EBIT margin and unit costs
Capex inflation	Higher reinvestment reduces FCFF	Capex/production and capex/revenue
Production disappointment	Reduces revenue growth and operating leverage	Oil and total BOE volume
Higher discount rate	Reduces explicit and terminal present value	Risk-free rate, ERP and beta
Reserve and inventory risk	Weakens long-run growth and returns	Reserve replacement and well returns
International execution	Delays optionality and adds geopolitical exposure	Project timing and well performance
Model risk	Independent inputs and fixed ratios may overstate precision	Alternative DCF and peer valuation

10. Monitoring Dashboard

KPI	Why it matters	Positive signal	Negative signal
Oil production	High-value volume driver	At/above guidance	Repeated misses
Total BOE production	Portfolio growth	Growth without capex escalation	Growth driven by low-value mix
Realised prices	Revenue and margins	Premium realisations	Widening discounts
Unit operating costs	Margin resilience	At/below guidance	Persistent inflation
Capital expenditure	FCFF conversion	Within plan	Budget overruns
Free cash flow	Funding for returns	Sustained conversion	Weak cash generation
Repurchases/dividends	Shareholder distribution	Disciplined returns	Returns funded by weakening balance sheet
Net debt	Financial flexibility	Stable or declining	Material increase
UAE/international progress	Optionality	Commercially competitive results	Delays or weak economics

11. Conclusion

The central adjusted-CAPM Monte Carlo DCF supports a constructive view on EOG Resources. The company's current cash generation, production outlook, capital returns and multi-basin portfolio create a credible path to value above the reference market price. However, the result is highly dependent on a 34% central EBIT margin, controlled capex intensity and a 7.52% WACC. The most defensible stance is therefore constructive but high risk,

with US$225.54 treated as a central fair-value estimate and a materially higher discount-rate case retained as a downside stress test.

References and Disclosures

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